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Attorney for Defendant DALTON C GAUDIN

SUPERIOR COURT OF THE STATE OF CALIFORNIA
COUNTY OF LOS ANGELES

STUDENT LOAN SOLUTIONS, LLC,

Plaintiff,

v.

DALTON C GAUDIN, *et al.*

Defendants.

Case No. 24CHLC00778

UNLIMITED CIVIL CASE

(Reclassified by Cross-Complaint pursuant to
Code of Civil Procedure § 403.030)

DALTON C GAUDIN,

Cross-Complainant,

v.

STUDENT LOAN SOLUTIONS, LLC, a
South Carolina limited liability company;
CHRISTOPHER P. RUH, individually and in
his official capacity; WILLIAMS & FUDGE,
INC., a South Carolina corporation; and
ROES 1 through 10, inclusive,

Cross-Defendants.

**DEFENDANT DALTON C GAUDIN'S
CROSS-COMPLAINT AGAINST
PLAINTIFF & CROSS-DEFENDANTS**

California Civil Code §§ 1788.50-1788.64

15 United States Code §§ 1692-1692p

California Civil Code §§ 1788-1788.33

California Civil Code §§ 1788.200-1788.211

California Business & Professions Code § 17200

REQUEST FOR JURY TRIAL

Complaint Filed: January 9, 2024

Trial Date: Not Set

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1 Cross-Complainant, DALTON C GAUDIN (“Cross-Complainant” or “Mr. Gaudin”), based on
2 information and belief and investigation of counsel, except for those allegations which pertain to the
3 named Mr. Gaudin or his attorneys (which are alleged on personal knowledge), hereby makes the
4 following allegations:

5 **INTRODUCTION**

6 1. This case concerns a scheme by the Cross-Defendants to collect on long time-barred debt,
7 and to strategically delay their collection activity so that the debtors and the Court would be unable to
8 determine that the debt is already time-barred.

9 2. Cross-Defendant STUDENT LOAN SOLUTIONS LLC (“Student Loan Solutions” or
10 “SLS”) purchased and collects on one portfolio of student debt from Bank of America, N.A.

11 3. At the time Student Loan Solutions purchased the portfolio of loans in 2017, the accounts
12 included were charged off and had been accelerated at chargeoff according to Bank of America’s policies
13 and procedures.

14 4. Student Loan Solutions knew at the time of purchase that the accounts had already been
15 accelerated because Cross-Defendant CHRISTOPHER P. RUH (“Mr. Ruh”) is a principal of both Student
16 Loan Solutions and Cross-Defendant WILLIAMS & FUDGE, INC. (“Williams and Fudge” or “W&F”),
17 and Williams and Fudge was hired by Bank of America prior to the purchase to collect the accelerated
18 full balance due on the accounts.

19 5. Due to the age of the accounts included in the purchase, and the fact that many were
20 already time-barred, Student Loan Solutions purchased the portfolio of loans from Bank of America at a
21 steep discount.

22 6. Rather than act immediately to collect on the accounts, when borrowers might still be able
23 to access records from Bank of America that would prove they were time-barred, Cross-Defendants chose
24 to wait many years in hopes that the borrowers would lose their ability to prove prior acceleration and
25 thus show that the loans are time-barred.

26 7. This case is exemplary of the scheme: Student Loan Solutions alleges Mr. Gaudin last
27 made a payment on this account in 2012. Student Loan Solutions allegedly acquired the account in 2017.

1 Student Loan Solutions first sued Mr. Gaudin in 2022. When Mr. Gaudin provided proof that the account
2 was accelerated more than four years prior to that suit, Student Loan Solutions dismissed. Then Student
3 Loan Solutions sued again in 2024, more than twelve years after Mr. Gaudin's last alleged payment.

4 8. Cross-Defendants know or should know that Bank of America accelerated the account at
5 issue in this matter prior to 2017.

6 9. Cross-Defendants themselves demanded an accelerated balance from Mr. Gaudin more
7 than four years prior to filing this action.

8 10. Cross-Defendants know or should know that, based on Bank of America's document
9 retention policy, the Bank of America documents demonstrating acceleration prior to 2017 have likely
10 been destroyed.

11 11. Despite knowing that the account had already been accelerated prior to 2017, Cross-
12 Defendants sent Mr. Gaudin a false and misleading "acceleration notice" purporting to accelerate the
13 account in 2022.

14 12. Cross-Defendants intentionally waited many years to pursue Mr. Gaudin for the time-
15 barred account, hoping he would no longer be able to prove that it had been accelerated.

16 13. Cross-Defendants' entire course of collection conduct as to the time-barred account is
17 unlawful, including making collection attempts outside of litigation, and filing a time-barred lawsuit.

18 14. In their course of conduct described herein, each and every Cross-Defendant has violated
19 numerous California and federal consumer protection laws, including but not limited to the California
20 Rosenthal Fair Debt Collection Practices Act ("Rosenthal"), the Federal Fair Debt Collection Practices
21 Act ("FDCPA"), the California Fair Debt Buying Practices Act ("FDBPA"), the California Private
22 Student Loan Collections Reform Act ("PSLCRA"), and the California Unfair Competition Law
23 ("UCL").

24 15. Mr. Gaudin seeks actual damages, statutory damages, punitive damages, attorney fees,
25 costs, and injunctive relief to put a stop to Cross-Defendants' unlawful practices.

26 **JURISDICTION AND VENUE**

27 16. The Court has jurisdiction over this action pursuant to California Civil Code § 1788.30(f)

1 and 15 U.S.C. §1692k(d), which provide for enforcement in any court of competent jurisdiction. The
2 California Superior Court also has jurisdiction over this action pursuant to California Code of Civil
3 Procedure § 410.10 and California Constitution Article VI, § 10, which grants the Superior Court
4 “original jurisdiction in all cases except those given by statute to other trial courts.” The statutes under
5 which this action is brought do not grant jurisdiction to any other trial court in California.

6 17. This Court has jurisdiction over each Cross-Defendant named herein because, based on
7 information and belief, each Cross-Defendant is a corporation or association authorized to do business in
8 California and registered with the California Secretary of State, or does sufficient business, has sufficient
9 minimum contacts in California, is a citizen of California, or otherwise intentionally avails itself of the
10 California market through the promotion, sale, marketing and/or distribution of goods and services in
11 California and thereby having such other contacts with California so as to render the exercise of
12 jurisdiction over it by the California courts consistent with traditional notions of fair play and substantial
13 justice.

14 18. Venue is proper in the Los Angeles County Superior Court pursuant to California Code of
15 Civil Procedure §§ 393 and 395.5 because one or more of the violations alleged in this Cross-Complaint
16 arise in the County of Los Angeles. Venue is also proper in the Los Angeles County Superior Court
17 pursuant to California Code of Civil Procedure § 395(b) because this action arises from an alleged
18 extension of credit intended primarily for personal, family, or household use and Mr. Gaudin (the alleged
19 borrower) resided in the County of Los Angeles at the commencement of this action.

20 **PARTIES**

21 19. Mr. Gaudin is a natural person residing in Los Angeles County, California. Mr. Gaudin is
22 a “consumer” as that term is defined by 15 U.S.C. § 1692a(3) and a “debtor” as that term is defined by
23 California Civil Code §§ 1788.201(e) and 1788.2(h), and as incorporated by California Civil Code §
24 1788.50(c), and a “borrower” as that term is defined by California Civil Code §§ 1788.201(a).

25 20. Cross-Defendant Student Loan Solutions is a South Carolina limited liability company
26 engaged in the business of purchasing and collecting defaulted and charged-off consumer debts in this
27 state with its principal place of business located at: 707 Land Fall Drive, Rock Hill, South Carolina 29732.

1 Student Loan Solutions may be served as follows: Student Loan Solutions, LLC, c/o Cogency Global,
2 Inc., Registered Agent, 1325 J Street, Suite 1550, Sacramento, California 95814. The principal business
3 of Student Loan Solutions is the collection of defaulted, charged-off consumer debts using the mails,
4 telephone, and internet, and Student Loan Solutions regularly attempts to collect defaulted consumer
5 debts alleged to be originally due another. Student Loan Solutions does not originate loans or extend
6 credit to consumers. Student Loan Solutions allegedly purchases defaulted and charged-off consumer
7 debts for pennies on the dollar. After allegedly purchasing defaulted consumer debts, Student Loan
8 Solutions then contracts with debt collectors to collect the alleged debts from consumers. Student Loan
9 Solutions participates in the collection process by setting parameters of the terms and amounts of the
10 payments made by debtors. Mr. Gaudin is informed and believes, and thereon alleges, that Student Loan
11 Solutions actively participates in and directs the collection of its accounts. Student Loan Solutions derives
12 all or the vast majority of its income from the collection of defaulted consumer debts, and Student Loan
13 Solutions has no other significant business activities other than those described in this Cross-Complaint.
14 Student Loan Solutions is a “debt buyer” as that term is defined by California Civil Code § 1788.50(a)(1),
15 and a “debt collector” as that term is defined by 15 U.S.C. § 1692a(6) and California Civil Code §
16 1788.2(c), a “creditor” as that term is defined by California Civil Code § 1788.201(d)(3), and a “private
17 education lender” as that term is defined by California Civil Code § 1788.201(h)(2).

18 21. Cross-Defendant CHRISTOPHER P. RUH (“Mr. Ruh”), is a natural person and is or was
19 an officer, director, employee, and/or authorized agent of Student Loan Solutions at all relevant times.
20 Mr. Ruh is or was an officer, director, employee, and/or authorized agent of Cross-Defendant Williams
21 & Fudge at all relevant times as well. Mr. Ruh may be served as follows: Christopher P. Ruh, Student
22 Loan Solutions, LLC, 707 Land Fall Drive, Rock Hill, South Carolina 29732. The principal purpose of
23 Mr. Ruh’s business is the collection of defaulted consumer debts due or alleged to be due another. Mr.
24 Ruh is regularly engaged in the business of collecting defaulted consumer debts by authorizing the filing
25 and maintaining of numerous civil debt collection lawsuits on behalf of Student Loan Solutions and
26 obtaining judgments in those lawsuits by utilizing the U.S. Mail, telephone, and internet. Mr. Ruh is a
27 “debt collector” as that term is defined by 15 U.S.C. § 1692a(6) and California Civil Code § 1788.2(c),
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1 and a “private education loan collector” as that term is defined by California Civil Code § 1788.201(k).
2 Mr. Ruh is liable for the acts of Student Loan Solutions because he sets and approves Student Loan
3 Solutions’s collection policies, practices, procedures, and he participated in and directed the unlawful
4 activities described herein.

5 22. Cross-Defendant Williams & Fudge is a South Carolina corporation engaged in the
6 business of collecting defaulted consumer debts in this state with its principal place of business located
7 at: 300 Chatham Avenue, Rock Hill, South Carolina 29730. Williams & Fudge may be served as follows:
8 Williams & Fudge, Inc., c/o CT Corporation System, Registered Agent, 330 North Brand Boulevard,
9 Suite 700, Glendale, California 91203. The principal business of Williams & Fudge is the collection of
10 defaulted consumer debts using the mails, telephone, and internet, and Williams & Fudge regularly
11 attempts to collect defaulted consumer debts alleged to be originally due another. Williams & Fudge is a
12 “debt collector” as that term is defined by 15 U.S.C. § 1692a(6) and California Civil Code § 1788.2(c),
13 and a “private education loan collector” as that term is defined by California Civil Code § 1788.201(k).

14 23. The true names and capacities, whether individual, corporate, associate, governmental, or
15 otherwise, of Cross-Defendants, ROES 1 through 10, are unknown to Mr. Gaudin at this time, who
16 therefore sues said Cross-Defendants by such fictitious names. When the true names and capacities of
17 said Cross-Defendants have been ascertained, Mr. Gaudin will amend this Cross-Complaint accordingly.
18 Mr. Gaudin is informed and believes, and thereon alleges, that each Cross-Defendant designated herein
19 as a ROE is responsible, negligently or in some other actionable manner, for the events and happenings
20 hereinafter referred to, and caused damages thereby to Mr. Gaudin, as hereinafter alleged. Cross-
21 Defendant, ROES 1-10, are, and each of them is, a “debt collector” as that term is defined by California
22 Civil Code § 1788.2(c) and 15 U.S.C. § 1692a(6), and a “private education loan collector” as that term is
23 defined by California Civil Code § 1788.201(k).

24 24. At all times herein mentioned, each of the Cross-Defendants was the agent, servant,
25 employee, alter ego and/or joint venturer of his/her/its Co-Defendants, and each of them, and at all said
26 times, each Cross-Defendant was acting in the full course and scope of said agency, service, employment
27 and/or joint venture. Any reference hereafter to “Cross-Defendants” without further qualification is meant

1 by Mr. Gaudin to refer to each Cross-Defendant, and all of them, named above.

2 25. Mr. Gaudin is informed and believes, and thereon alleges that at all times herein
3 mentioned, Cross-Defendants, ROES 1-10, inclusive, were and are individuals, corporations,
4 partnerships, unincorporated associations, sole proprietorships and/or other business entities organized
5 and existing under and by virtue of the laws of the State of California, or the laws of some other state or
6 foreign jurisdiction, and that said Cross-Defendants, and each of them, have regularly conducted business
7 in the County of Los Angeles, State of California.

8 **FACTUAL ALLEGATIONS**

9 26. In 2007, Mr. Gaudin is alleged to have incurred financial obligations in the form of a
10 private student loan account issued by Bank of America, N.A., and assigned account number ending in
11 1599 (the “alleged debt”). Mr. Gaudin generally denies that any debt is lawfully owed. The alleged debt
12 to Bank of America, N.A., was primarily for personal educational purposes and is therefore a “debt” as
13 that term is defined by 15 U.S.C. § 1692a(5), a “consumer debt” as that term is defined by California
14 Civil Code § 1788.2(f), and as incorporated by California Civil Code § 1788.50(c), and a “private
15 education loan” as that term is defined by California Civil Code § 1788.201(i).

16 27. Mr. Gaudin is informed and believes, and thereon alleges that, on or before April 23, 2013,
17 Bank of America, N.A., accelerated the alleged debt, removed the alleged debt from its books as an asset,
18 and thereafter treated the alleged debt as a loss or expense. As a result, the alleged debt was thereafter a
19 “charged-off consumer debt” as that term is defined by California Civil Code § 1788.50(a)(2).

20 28. Mr. Gaudin is informed and believes that, at the time of the chargeoff, it was Bank of
21 America, N.A.’s policy and practice to accelerate debts allegedly owing at or before the time of chargeoff.

22 29. Between 2013 and 2017, Mr. Gaudin received collection notices from Bank of America,
23 N.A., and/or its agents, demanding an accelerated balance on the Account.

24 30. On information and belief, or around October 31, 2017, when Student Loan Solutions
25 allegedly purchased the Account from Bank of America, N.A., Bank of America communicated to
26 Student Loan Solutions only an accelerated balance due—not an amount due and owing from individual
27 missed payments.

1 31. Mr. Gaudin is informed and believes that Bank of America, N.A., received the last
2 payment on the Account on or about November 5, 2012. No further payments were made on the alleged
3 debt after November 5, 2012.

4 32. On or around April 25, 2018, Williams & Fudge sent Mr. Gaudin a collection letter on
5 behalf of Student Loan Solutions demanding an accelerated balance on the Account.

6 33. On or before April 25, 2022, the four-year statute of limitations expired on the accelerated
7 balance of the Account pursuant to California Code of Civil Procedure § 337.

8 34. Because the alleged debt was sold or resold after January 1, 2014, Cross-Defendants'
9 collection of the alleged debt is subject to the California Fair Debt Buying Practices Act, California Civil
10 Code §§ 1788.50-1788.64 ("FDBPA"), pursuant to California Civil Code § 1788.50(d).

11 35. Student Loan Solutions alleges that thereafter, on or about April 29, 2022, Williams &
12 Fudge sent a collection letter to Mr. Gaudin on behalf of Student Loan Solutions ("the 2022 collection
13 letter"), which is a "communication" in an attempt to collect a debt, as that term is defined by 15 U.S.C.
14 § 1692a(2) and a written statement to a debtor in an attempt to collect a private education loan pursuant
15 to California Civil Code § 1788.202(a). A true and accurate copy of the collection letter from Williams
16 & Fudge and Student Loan Solutions to Mr. Gaudin is attached to Student Loan Solutions' Complaint,
17 marked Exhibit "C", and by this reference is incorporated herein ("the 2022 collection letter").

18 36. The 2022 collection letter misrepresented the character, amount, and legal status of the
19 alleged debt.

20 37. The 2022 collection letter failed to provide the information and notices required by
21 California Civil Code §§ 1788.14(d)(2), 1788.52(d)(1), 1788.52(d)(3), 1788.202(b)(1), and 15 U.S.C. §
22 1692g(a).

23 38. When Williams & Fudge sent the 2022 collection letter, it knew or should have known
24 that the loan had already been accelerated more than four years prior including by Williams & Fudge's
25 own demands.

26 39. On August 5, 2022, Student Loan Solutions filed a "private education loan collection
27 action," as that term is defined by California Civil Code § 1788.201(j), in an attempt to collect the alleged
28

1 debt, bearing case number 22CHLC17031 (“the 2022 lawsuit”).

2 40. Mr. Gaudin was unable to find an attorney and represented himself in the 2022 lawsuit.

3 41. Mr. Gaudin informed Student Loan Solutions in 2022 that the alleged debt was time-
4 barred.

5 42. Mr. Gaudin expended significant time and resources representing himself in the 2022
6 lawsuit, and experienced a great deal of stress as a result. He took numerous days off work to prepare
7 documents and file them in person, and lost income as a result. He also lost sleep, experienced a great
8 deal of stress and emotional trauma, and experienced other physical symptoms of stress.

9 43. Mr. Gaudin filed a Motion with the Court in the 2022 lawsuit, and attached the April 25,
10 2018, accelerated demand, to demonstrate that the alleged debt was time-barred.

11 44. Prior to the hearing on Mr. Gaudin’s Motion, Student Loan Solutions dismissed the 2022
12 lawsuit.

13 45. The relief that Mr. Gaudin felt when he learned of the dismissal was immense.

14 46. In January, 2024, Student Loan Solutions filed this action, another time-barred lawsuit on
15 the same alleged debt.

16 47. The Student Loan Solutions Complaint in this action (“Complaint”) misrepresents the
17 character, amount, and legal status of the alleged debt.

18 48. The Student Loan Solutions Complaint falsely states that, “Plaintiff has complied with
19 California Civil Code Section 1788.52.” In fact, Student Loan Solutions has not complied with California
20 Civil Code §§ 1788.52(d)(1) and 1788.52(d)(3).

21 49. Student Loan Solutions filed this lawsuit to collect the alleged debt after the applicable
22 statute of limitations expired in violation of California Code of Civil Procedure § 337(d), California Civil
23 Code §§ 1788.17, 1788.56, and 1788.204, California Business & Professions Code § 17200, 15 U.S.C.
24 §§ 1692e, 1692e(5), 1692e(10), and 1692f, and 12 C.F.R. § 1006.26(b).

25 50. The Student Loan Solutions Complaint falsely states that “within the last four years of the
26 filing of this action, Defendants breached the written Agreement (Installment Contract, See Exhibit A)
27 requiring Defendants to make monthly installment payments to the Creditor and/or Debt Buyer.”

51. The Student Loan Solutions Complaint falsely states that “the applicable statute of limitations has not expired.”

52. The Student Loan Solutions Complaint fails to attach a copy of “the self-certification form and any other ‘needs analysis’ conducted by the original creditor prior to origination of the loan,” as required by California Civil Code §§ 1788.202(a)(12) and 1788.205(b).

53. Mr. Gaudin has suffered an injury in fact and lost money and property as a result of Cross-Defendants' conduct.

54. Mr. Gaudin's injuries include the toll it has taken on him, the negative impact it has had on his ability to enjoy his life, the physical manifestations of that toll and negative impact, and the costs of appearing and defending himself in this and the previous action.

FIRST CAUSE OF ACTION

CALIFORNIA FAIR DEBT BUYING PRACTICES ACT

(Against Student Loan Solutions Only)

55. Mr. Gaudin brings the first cause of action against Student Loan Solutions under the California Fair Debt Buying Practices Act (“CFDBPA”), California Civil Code §§ 1788.50-1788.64.

56. Mr. Gaudin repeats, realleges, and incorporates by reference all preceding paragraphs as though fully set forth herein.

57. Mr. Gaudin is a “debtor” as that term is defined by California Civil Code § 1788.2(h), as incorporated by California Civil Code § 1788.50(c).

58. Cross-Defendant, Student Loan Solutions, is a “debt collector” as that term is defined by California Civil Code § 1788.2(c), as incorporated by California Civil Code § 1788.50(c).

59. Cross-Defendant, Student Loan Solutions, is a “debt buyer” as that term is defined by California Civil Code § 1788.50(a)(1).

60. The financial obligation alleged to be owed by Mr. Gaudin to Student Loan Solutions is a “consumer debt” as that term is defined by California Civil Code § 1788.2(f), as incorporated by California Civil Code § 1788.50(c).

61. The financial obligation alleged to be owed by Mr. Gaudin to Student Loan Solutions is a

1 “charged-off consumer debt” as that term is defined by California Civil Code § 1788.50(a)(2).

2 62. Student Loan Solutions’s 2022 collection letter fails to provide the notices required by
3 California Civil Code §§ 1788.52(d)(1) and 1788.52(d)(3).

4 63. Student Loan Solutions filed this lawsuit to collect the alleged debt after the applicable
5 statute of limitations expired, in violation of California Civil Code § 1788.56.

6 64. Mr. Gaudin is informed and believes, and thereon alleges that, Student Loan Solutions has
7 engaged in a pattern and practice of violating the CFDBPA, California Civil Code §§ 1788.52(d)(1),
8 1788.52(d)(3), and 1788.56.

9 65. As a result of Student Loan Solutions’s violations of the CFDBPA, Mr. Gaudin is entitled
10 to an award of statutory damages in an amount not less than one hundred dollars (\$100) nor greater than
11 one thousand dollars (\$1,000), pursuant to California Civil Code § 1788.62(a)(2).

12 66. As a result of Student Loan Solutions’s violations of the CFDBPA, Mr. Gaudin is entitled
13 to an award of reasonable attorney’s fees and costs, pursuant to California Civil Code § 1788.62(c).

14 **SECOND CAUSE OF ACTION**

15 **FAIR DEBT COLLECTION PRACTICES ACT**

16 **(All Cross-Defendants and ROES 1-10)**

17 67. Mr. Gaudin brings the second cause of action against Cross-Defendants under the federal
18 Fair Debt Collection Practices Act (“FDCPA”), 15 U.S.C. §§ 1692-1692p.

19 68. Mr. Gaudin repeats, realleges, and incorporates by reference all preceding paragraphs as
20 though fully set forth herein.

21 69. Mr. Gaudin is a “consumer” as that term is defined by 15 U.S.C. § 1692a(3).

22 70. Cross-Defendants Student Loan Solutions, Ruh, and Williams & Fudge are each “debt
23 collectors” as that term is defined by 15 U.S.C. § 1692a(6).

24 71. Cross-Defendants ROES 1-10, are each a “debt collector” as that term is defined by 15
25 U.S.C. § 1692a(6).

26 72. The financial obligation alleged to be owed by Mr. Gaudin is a “debt” as that term is
27 defined by 15 U.S.C. § 1692a(5).

73. Cross-Defendants have violated the FDCPA. The violations include, but are not limited to, the following:

a. Cross-Defendants made and used false, deceptive, and misleading representations in an attempt to collect the alleged debt, in violation of 15 U.S.C. §§ 1692e and 1692e(10);

b. Cross-Defendants misrepresented the character, amount, or legal status of the alleged debt, in violation of 15 U.S.C. § 1692e(2)(A); and

c. Cross-Defendants attempted to collect a debt that is known by Cross-Defendants to be barred by the applicable statute of limitations, in violation of 15 U.S.C. §§ 1692e, 1692e(5), 1692e(10), and 1692f, and 12 C.F.R. § 1006.26(b).

74. Cross-Defendants' acts as described above were done intentionally with the purpose of coercing Mr. Gaudin to pay the alleged debt.

75. As a result of Cross-Defendants' violations of the FDCPA, Mr. Gaudin is entitled to an award of actual damages in an amount to be proven at trial, pursuant to 15 U.S.C. § 1692k(a)(1).

76. As a result of Cross-Defendants' violations of the FDCPA, Mr. Gaudin is entitled to an award of statutory damages in an amount not to exceed one thousand dollars (\$1,000), pursuant to 15 U.S.C. §§ 1692k(a)(2)(A) and 1692k(a)(2)(B)(i).

77. As a result of Cross-Defendants' violations of the FDCPA, Mr. Gaudin is entitled to an award of reasonable attorney's fees and costs, pursuant to 15 U.S.C. § 1692k(a)(3).

THIRD CAUSE OF ACTION

ROSENTHAL FAIR DEBT COLLECTION PRACTICES ACT

(All Cross-Defendants and ROES 1-10)

78. Mr. Gaudin brings the third cause of action against Cross-Defendants under the California Rosenthal Fair Debt Collection Practices Act ("RFDCPA"), California Civil Code §§ 1788-1788.33.

79. Mr. Gaudin repeats, realleges, and incorporates by reference all preceding paragraphs as though fully set forth herein.

80. Mr. Gaudin is a "debtor" as that term is defined by California Civil Code § 1788.2(h).

81. Cross-Defendants Student Loan Solutions, Ruh, and Williams & Fudge are each "debt

collectors” as that term is defined by California Civil Code § 1788.2(c).

82. Cross-Defendants, ROES 1-10, are, and each of them is, a “debt collector” as that term is defined by California Civil Code § 1788.2(c).

83. The financial obligation alleged to be owed by Mr. Gaudin is a “consumer debt” as that term is defined by California Civil Code § 1788.2(f).

84. Cross-Defendants have violated the RFDCPA. The violations include, but are not limited to, the following:

a. Cross-Defendants made and used false, deceptive, and misleading representations in an attempt to collect the alleged debt(s), in violation of California Civil Code § 1788.17;¹

b. Cross-Defendants misrepresented the character, amount, or legal status of the alleged debt(s), in violation of California Civil Code § 1788.17;² and

c. Cross-Defendants are attempting to collect a debt that is known by Cross-Defendants to be barred by the applicable statute of limitations, in violation of California Civil Code § 1788.17.³

85. As a result of Cross-Defendants’ violations of the RFDCPA, Mr. Gaudin is entitled to an award of actual damages in an amount to be proven at trial, pursuant to California Civil Code § 1788.17.⁴

86. As a result of Cross-Defendants’ violations of the RFDCPA, Mr. Gaudin is entitled to an award of statutory damages in an amount not to exceed one thousand dollars (\$1,000) against each Cross-Defendant, pursuant to California Civil Code § 1788.17.⁵

87. As a result of Cross-Defendants’ violations of the RFDCPA, Mr. Gaudin is entitled to an award of reasonable attorney’s fees and costs, pursuant to California Civil Code § 1788.17.⁶

88. Pursuant to California Civil Code § 1788.32, the remedies provided under the RFDCPA are intended to be cumulative and in addition to any other procedures, rights or remedies that Mr. Gaudin

¹ Incorporating 15 U.S.C. §§ 1692e and 1692e(10).

² Incorporating 15 U.S.C. § 1692e(2)(A).

³ Incorporating 15 U.S.C. §§ 1692e, 1692e(5), 1692e(10), and 1692f.

⁴ Incorporating 15 U.S.C. § 1692k(a)(1).

⁵ Incorporating 15 U.S.C. § 1692k(a)(2)(A).

⁶ Incorporating 15 U.S.C. § 1692k(a)(3).

1 may have under any other provision of law.

2 **FOURTH CAUSE OF ACTION**

3 **PRIVATE STUDENT LOAN COLLECTIONS REFORM ACT**

4 **(All Cross-Defendants and ROES 1-10)**

5 89. Mr. Gaudin brings the fourth cause of action against Cross-Defendants under the
6 California Private Student Loan Collections Reform Act ("PSLCRA"), California Civil Code §§
7 1788.200-1788.211.

8 90. Mr. Gaudin repeats, realleges, and incorporates by reference all preceding paragraphs as
9 though fully set forth herein.

10 91. The Private Student Loan Collections Reform Act ("PSLCRA"), codified at Civil Code
11 §§ 1788.200-211, was enacted to prevent the conduct Cross-Defendants' have engaged in toward Mr.
12 Gaudin. As noted in the Assembly Floor Analysis:

13 "In private litigation, students have been sued for debts they no longer owed, by companies
14 they never borrowed from, and by creditors that lacked the legal standing to sue in the first
15 place. Judges across the country have quashed hundreds of lawsuits due to the poor
16 evidentiary merits of cases brought by private student lenders and collectors. The
probability of a borrower prevailing in such a case, however, is dependent on whether the
borrower is represented by an attorney."

17 92. The PSLCRA was meant to prevent abusive collection tactics that rely on the fact that
18 most student debtors are not able to secure lawyers. The Senate Floor Analysis stated:

19 "The current system is not designed to create equitable outcomes. If two consumers are
20 sued for debts that they do not legally owe, but one consumer can hire legal representation
21 while the other cannot, the deck is stacked against the unrepresented consumer. This bill
22 would bring the effective requirements related to documentation that applies in a court
23 setting upstream in the collections process. By requiring adequate documentation before
a collector engages in written communication with the borrower, this bill aims to stop
unfair collections practices before they commence, rather than relying on a consumer's
attorney to sort out the mess in court, assuming the consumer can afford an attorney in the
first place."

24 93. By sending Mr. Gaudin collection notices they know to be false and misleading, failing to
25 include the information and documents required by the PSLCRA, suing Mr. Gaudin beyond the statute
26 of limitations, and failing to include the required information in their Complaint, Cross-Defendants are
27

engaged in the type of conduct the law was enacted to address.

94. Mr. Gaudin is a “borrower” as that term is defined by California Civil Code § 1788.201(a).

95. Mr. Gaudin is a “debtor” as that term is defined by California Civil Code § 1788.201(e).

96. Cross-Defendant, Student Loan Solutions, is a “creditor” as that term is defined by California Civil Code § 1788.201(d)(3).

97. Cross-Defendant, Student Loan Solutions, is a “private education lender” as that term is defined by California Civil Code § 1788.201(h)(2).

98. Cross-Defendants Ruh and Williams & Fudge are “private education loan collectors” as that term is defined by California Civil Code § 1788.201(k).

99. Cross-Defendants ROES 1-10, are each a “private education loan collector” as that term is defined by California Civil Code § 1788.201(k).

100. On January 9, 2024, Cross-Defendants filed this “private education loan collection action,” as that term is defined by California Civil Code § 1788.201(j).

101. Cross-Defendants have violated the PSLCRA. The violations include, but are not limited to, the following:

a. Cross-Defendants’ 2022 collection letter fails to provide the information required by California Civil Code § 1788.202(b)(1);

b. Cross-Defendants’ Complaint was filed after the applicable statute of limitations expired, in violation of California Civil Code § 1788.204; and

c. Cross-Defendants’ Complaint fails to attach a copy of “the self-certification form and any other ‘needs analysis’ conducted by the original creditor prior to origination of the loan,” in violation of California Civil Code §§ 1788.202(a)(12) and 1788.205(b).

102. Cross-Defendants’ violations of the PSLCRA, including their knowingly filing a time-barred collection action against Mr. Gaudin, were intended by the Cross-Defendants to cause injury to Mr. Gaudin or were despicable conduct carried on with a willful and conscious disregard for Mr. Gaudin’s rights.

103. Cross-Defendants’ violations of the PSLCRA, including their knowingly filing a time-

1 barred collection action against Mr. Gaudin, constitute despicable conduct that subjected Mr. Gaudin to
2 cruel and unjust hardship in conscious disregard of his rights.

3 104. Cross-Defendants' violations of the PSLCRA, including their knowingly filing a time-
4 barred collection action against Mr. Gaudin and knowingly misrepresenting the acceleration date of the
5 loan, constitute intentional misrepresentations, deceit, and/or concealment of material facts known to
6 Cross-Defendants with the intention of thereby depriving Mr. Gaudin of his property and legal rights.

7 105. Cross-Defendants' violations of the PSLCRA were committed with oppression, fraud, and
8 malice

9 106. As a result of Cross-Defendants' violations of the PSLCRA, Mr. Gaudin is entitled to an
10 award of actual damages in an amount to be proven at trial, pursuant to California Civil Code §
11 1788.208(a)(1)(A).

12 107. As a result of Cross-Defendants' violations of the PSLCRA, Mr. Gaudin is entitled to an
13 award of statutory damages in an amount not less than five hundred dollars (\$500) per violation, against
14 each Cross-Defendant, pursuant to California Civil Code § 1788.208(a)(1)(B).

15 108. As a result of Cross-Defendants' violations of the PSLCRA, Mr. Gaudin is entitled to an
16 award of punitive damages.

17 109. As a result of Cross-Defendants' violations of the PSLCRA, Mr. Gaudin is entitled to an
18 award of reasonable attorney's fees and costs, pursuant to California Civil Code § 1788.208(c)(1).

19 **FIFTH CAUSE OF ACTION**

20 **UNFAIR COMPETITION LAW**

21 **(All Cross-Defendants and ROES 1-10)**

22 110. Mr. Gaudin brings the fifth cause of action against Cross-Defendants under the California
23 Unfair Competition Law ("UCL"), California Business & Professions Code § 17200.

24 111. Mr. Gaudin repeats, realleges, and incorporates by reference all preceding paragraphs as
25 though fully set forth herein.

26 112. The alleged debt is a "consumer financial product or service" as defined by California
27 Financial Code §§ 90005(e), 90005(k), and 12 U.S.C. § 5481(5).

1 113. Cross-Defendants are each “covered persons” as defined in California Financial Code §
2 90005(f) and 12 U.S.C. § 5481(6).

3 114. California and federal law prohibit covered persons from engaging in any unfair,
4 deceptive, or abusive act or practice with respect to a consumer financial product or service. Cal. Fin.
5 Code § 90003(a)(1); 12 U.S.C. § 5531(a).

6 115. Cross-Defendants actions alleged herein constitute unfair acts and practices that have
7 caused Mr. Gaudin substantial injuries that were not reasonably avoidable by him. Mr. Gaudin’s injuries
8 are not outweighed by countervailing benefits to consumers or competition. Cross-Defendants’ actions
9 are substantially injurious to consumers, offend public policy, and are immoral, unethical, oppressive,
10 and unscrupulous, as the gravity of the conduct outweighs any alleged benefits attributable to the conduct.

11 116. Cross-Defendants’ actions alleged herein constitute deceptive acts and practices because
12 they include material misrepresentations and omissions likely to mislead.

13 117. Cross-Defendants’ actions alleged herein constitute abusive acts and practices because
14 they take unreasonable advantage of Mr. Gaudin’s inability to protect his interests while using a consumer
15 financial product or service—in this case while being subject to debt collection activities on a time-barred
16 debt.

17 118. Cross-Defendants’ actions alleged herein constitute fraudulent acts and practices because
18 they involve false and misleading representations and omissions likely to deceive reasonable consumers.

19 119. Cross-Defendants’ actions alleged herein violate numerous provisions of law, as set forth
20 above, including:

21 a. The California Fair Debt Buying Practices Act, California Civil Code §§ 1788.50-
22 1788.64;

23 b. The federal Fair Debt Collection Practices Act, 15 U.S.C. §§ 1692-1692p;

24 c. The California Rosenthal Fair Debt Collection Practices Act, California Civil Code §§
25 1788-1788.33;

26 d. The California Private Student Loan Collections Reform Act, California Civil Code §§
27 1788.200-1788.211;

1 e. The California Consumer Financial Protection Law, California Financial Code §§ 90000-
2 90019; and

3 f. The federal Dodd Frank Wall Street Reform and Consumer Protection Act, 12 U.S.C. §
4 5531.

5 120. Cross-Defendants' actions constitute unlawful, unfair and fraudulent business practices in
6 violation of the UCL.

7 121. Mr. Gaudin has lost money or property as a result of these practices.

8 122. As a result of Cross-Defendants' violations of the UCL, Mr. Gaudin is entitled to
9 restitution, injunctive relief, and other equitable relief in order to remedy past harms and prevent future
10 damages, for which there is no adequate remedy at law.

11 **REQUEST FOR RELIEF**

12 Mr. Gaudin requests a judgment as follows:

- 13 a) For actual damages;
14 b) For statutory damages;
15 c) For punitive damages;
16 d) For an order enjoining Cross-Defendants' unlawful practices;
17 e) For attorney's fees and costs of suit;
18 f) For such other relief as the Court deems just and proper under the circumstances.

19
20 Dated: October 15, 2024

By: 
Daniel "Sparky" Abraham (SBN 299193)
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26 Attorney for Defendant/Cross-Complainant
27 DALTON GAUDIN

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PROOF OF SERVICE

Student Loan Solutions, LLC v. Dalton C. Gaudin

Los Angeles County Superior Court Case No. 24CHLC00778

I, Sparky Abraham, state:

My business address is 300 E Esplanade Dr. Suite 900, Oxnard, CA 93036. I am over the age of eighteen years and not a party to this action.

On the date set forth below, I served the foregoing document(s) described as:

DEFENDANT DALTON C GAUDIN'S CROSS-COMPLAINT AGAINST PLAINTIFF & CROSS-DEFENDANTS

on the following person(s) in this action:

Stephen R. Goldsmith
Goldsmith & Hull, APC
16933 Parthenia Street, Suite 110
Northridge, CA 91343
sgoldsmith@goldsmithcalaw.com
steve@goldsmithcalaw.com

Attorney for Plaintiff

☒ **BY ELECTRONIC SERVICE:** By electronically mailing a true and correct copy from my email address for electronic service, sparky@jubilee.legal, to the email addresses set forth above.

I declare under penalty of perjury under the laws of the United States and the State of California that the foregoing is true and correct.

Executed on October 15, 2024, at Oxnard, California.



Daniel "Sparky" Abraham